Job Quality: Toward an Economic Security Wage
May 2024

By Kelly Quinn

Introduction

On the job quality continuum, a high-quality job provides economic security by enabling families to build savings, buy a house, retire with dignity, afford higher education and recreation, and be resilient in the face of crises. In other words, bread and roses, too.

Most American workers and families, particularly those at the bottom of the income distribution, rely solely on compensation from employment to meet their economic needs like housing, food, health care, and childcare.[1] To this end, several research and policy organizations have developed tools to estimate the hourly wage a worker or family requires to meet basic needs for a particular location and family structure.

Even though these tools estimate wages that are typically much higher than local minimum wages and the federal poverty threshold, they are still meant to only capture the wages required for *subsistence*. Accordingly, they do not account for features of economic well-being above basic subsistence like emergency savings, wealth building, retirement security, home ownership, or higher education. Despite these limitations, these tools are useful for benchmarking a starting point toward building an economic security wage.

Against this backdrop, this post breaks down the components and assumptions of commonly used tools in the context of a broader discussion around features of economic security. Ultimately, we argue that economic security can be achieved through some combination of wage increases and quality benefit provision that not only deliver subsistence, but also security beyond the employment contract.

[1] Data sourced from Internal Revenue Service Statistics of Income, 2022 ("Table 1. Individual Income Tax Returns, Preliminary Data for Tax Years 2021 and 2022: Selected Income and Tax Items, by Size of Adjusted Gross Income")

The baseline: existing tools to measure subsistence wages

The Massachusetts Institute of Technology (MIT),[2] Economic Policy Institute (EPI),[3] the University of Washington,[4] United Way,[5] and other organizations[6] have developed tools to assess the quality of life a particular wage is able to provide for various family types across a range of geographic areas. In contrast to the federal poverty measure,[7] which is a fixed, one-size-fits-all[8] threshold based solely on income and household size, these measures provide a more nuanced and realistic view of subsistence wages in the United States. These metrics are developed using regional costs of housing, food, health care, childcare, and other expenses that meet some expected standard of living. Differences across tools begin to emerge based on the standard of living deemed appropriate; and, accordingly, which specific living expenses wages should cover.[9]

Existing attempts to establish a base level of security that a job can and should provide face several challenges reflecting diverse realities faced by workers: regional living expenses vary; just over half of employers in the United States provide health insurance,[10] and those that do vary in quality and cost;[11] some workers have children or other dependents that require care; and public transportation is not always an option for all workers.[12] While the MIT Living Wage Calculator, EPI Family Budget Calculator, University of Washington Self-Sufficiency Standard, and United Way Real Cost of California Measure largely capture the same components—housing, food, childcare, healthcare, transportation, and other necessities—their methodologies and data sources differ in several ways. This is reflected in different cost assumptions for each component, visualized for clarity in Figure 1 for three counties in California.

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Commented [2]: Measuring subsistence wage thresholds requires choosing from available data that reflects the complex and diverse realities of labor markets -- the same complex realities navigated by working families.

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[2] https://livingwage.mit.edu/

[3] https://www.epi.org/resources/budget/

[4] https://selfsufficiencystandard.org/calculator/

[5] https://unitedwaysca.org/realcost/

[6] https://iwpr.org/wp-content/uploads/2020/08/US-BEST-Draft-Methodology-Report_Suh1-CH_JC.pdf; https://insightcced.org/family-needs-calculator/; https://inequality.stanford.edu/data/california-poverty-measure

[7] https://aspe.hhs.gov/topics/poverty-economic-mobility/poverty-guidelines

[8] While the contiguous United States and DC have the same values, HHS does provide separate estimates for Alaska and Hawaii.

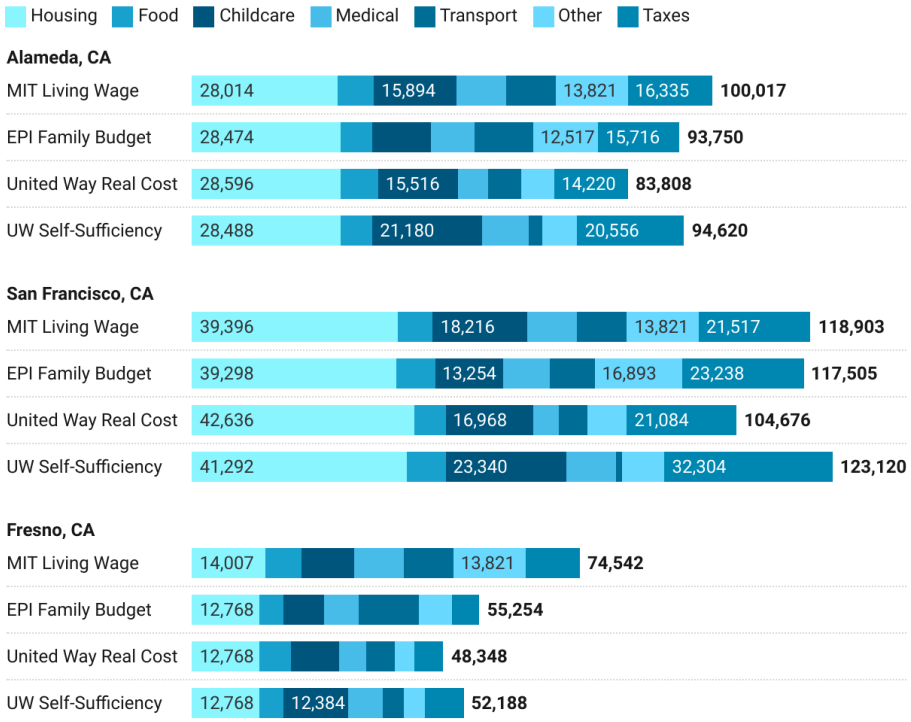
[9] For more information, refer to prior work by the UC Berkeley Labor Center: https://laborcenter.berkeley.edu/living-wage-and-self-sufficiency-tools-and-data/

[10] According to KFF's 2023 Employer Health Benefits Survey, 53 percent of employers offer health benefits. https://www.kff.org/report-section/ehbs-2023-summary-of-findings/

[11] United States Bureau of Labor Statistics National Compensation Survey. "Table 2. Healthcare Benefits, March 2023." Retrieved from: https://www.bls.gov/ebs/publications/employee-benefits-in-the-united-states-march-2023.htm

[12] https://www.urban.org/features/unequal-commute

Figure 1: Subsistence Wage Estimates for a Single-Adult, One-Child Household for Select California Counties



Notes: These figures represent the raw values for each component of the wage tools. There may be slight discrepancies in the total income each tool estimates due to the inclusion of tax credits. Data sources vary by year: MIT = 2022; EPI = 2020; United Way = 2021; UW Self-Sufficiency = 2021.

Created with Datawrapper

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We recognize that developing a wage standard requires nuance. While the underlying assumptions for each tool vary, all four organizations acknowledge that these figures are meant to capture *subsistence* rather than *security*.

Given that MIT's tool estimates costs for geographic areas defined by the Bureau of Labor Statistics,[13] is updated frequently, and provides comprehensive documentation,[14] we suggest that its Living Wage Calculator be used as the benchmark for subsistence. In addition to the primary components (i.e., housing, food, medical, childcare, and transportation), it includes the costs of civic engagement activities like children's toys, hobbies, and basic electronic equipment, as well as other costs like broadband, clothing, personal care, and housekeeping supplies.[15]

Commented [5]: We may need some further justification for choosing this one - why does higher mean it is the best benchmark for subsistence?

Commented [5R2]: i agree - just threw that in there, partly because their documentation is by far the most comprehensive and it's the most well known

Commented [5R3]: The fact that their documentation is the most comprehensive is a good reason to choose it. Can we also argue that they have the most robust definition of subsistence? A definition of subsistence that is most reflective of the cost of subsistence?

While MIT's tool does allow for basic recreational activities, it also (in our view, justifiably) acknowledges that several assumptions potentially underestimate the costs required for wages alone to sustain a family. For example, due to limitations in data availability and the complicated nature of healthcare provision, MIT assumes that families receive health insurance through their employers.[16] It does include payments for out-of-pocket expenses like premiums and medications, but contributions from employers would be excluded from the cost of healthcare. For transportation expenses, the tool also omits the cost of purchasing a vehicle, further underestimating the actual cost of subsistence. As a result of these decisions, the MIT subsistence wage still omits several important costs necessary to make ends meet in the United States.

Subsistence in the United States

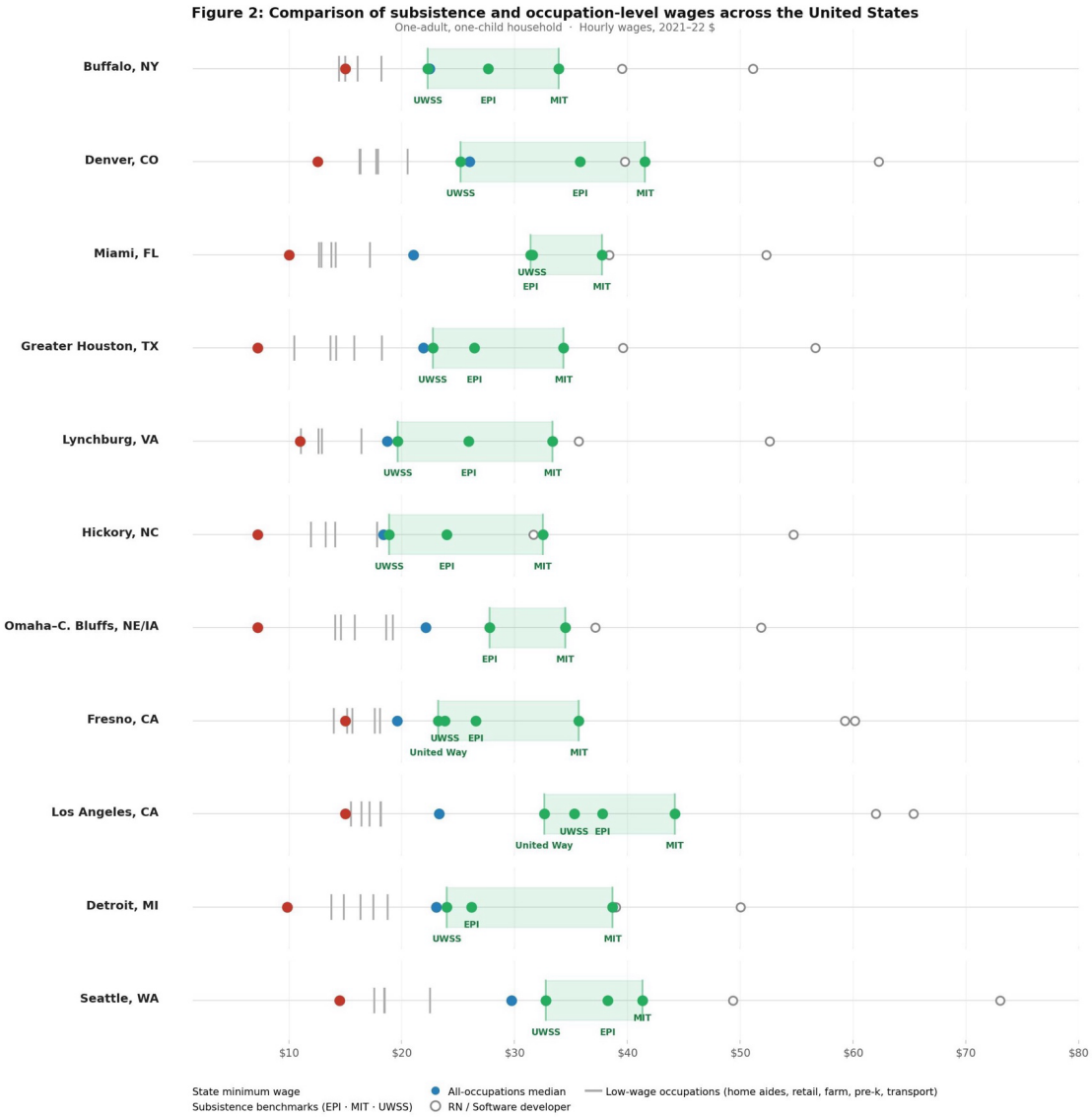
Many American families still fall short of meeting the four measures of subsistence described in this post. In Figure 2, we compare the values for subsistence estimated by each of the tools for a one-adult, one-child household with median hourly wages for select occupations across several metropolitan areas in the United States.

[13] https://www.bls.gov/oes/current/county_links.htm

[14] https://livingwage.mit.edu/pages/methodology; https://livingwage.mit.edu/resources/Living-Wage-Users-Guide-Technical-Documentation-2023-02-01.pdf

[15] https://livingwage.mit.edu/resources/Living-Wage-Users-Guide-Technical-Documentation-2023-02-01.pdf

[16] https://livingwage.mit.edu/resources/Living-Wage-Users-Guide-Technical-Documentation-2023-02-01.pdf (p. 5-6)



Sources: Bureau of Labor Statistics (BLS) Occupational Employment and Wage Statistics. “May 2022 Metropolitan and Nonmetropolitan Area Occupational Employment and Wage Estimates.” url: May 2022 Metropolitan and Nonmetropolitan Area Occupational Employment and Wage Estimates; MIT Living Wage Calculator; EPI Family Budget Calculator; UW Self-Sufficiency Standard; United Way Real Cost Measure of California. Additional notes for Figure 2 can be found in the Appendix.

Consider Hickory, North Carolina, recognized as one of the most affordable places to live in the United States.[17] MIT estimates that even in such a low-cost area, a single parent with one child requires an hourly wage of $33.11 to make ends meet. Yet, many occupations fall far below subsistence in the region's most populous county, Catawba County, including registered nurses. The gap between subsistence wages and median local wages is even more stark for high cost-of-living areas, such as Los Angeles and Miami. All in all, with the exception of the Self-Sufficiency Standard in Denver and Buffalo, the median hourly wage across all occupations falls below every single tool's estimate for subsistence.

Beyond subsistence: motivating the economic security framework

It is important to note that the above tools are meant to only capture the wages required for *subsistence*, and therefore leave no room for wealth-building or savings.[18] While they do indeed move beyond federal poverty benchmarks and take into consideration the basic needs of a family including food, childcare, health insurance, housing, transportation, and other essentials like clothing and personal care items, they do *not* enable a family to put money aside as savings or to purchase capital assets required to accrue wealth and withstand crises. To build out the job quality spectrum for earnings and advancement, we detail a broader framework of economic security: one that allows for families to save to buy a house, retire with dignity, send children to college, and be resilient in the face of crises. While ambitious, we believe that any job that leaves workers in a state of precarity cannot be considered a high-quality job. Figure 3 visualizes economic security in the context of the job quality framework.

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FIGURE 3: THE ECONOMIC SECURITY SPECTRUM

[17] https://realestate.usnews.com/places/rankings/cheapest-places-to-live

[18] The UW Self-Sufficiency Standard separately calculates a cost for emergencies not included in its annual figures to "cover living expenses if there is job loss net of the amount expected to be received in unemployment benefits." However, it is not clear from the documentation how this is calculated precisely.

Below, we describe four components of economic security that are critical to maintaining both short- and long-term stability across the life course, as well as building intergenerational wealth.

Emergency savings

At a basic level, the existing tools leave no room for emergency savings in their core wage sufficiency/subsistence calculations. As a result, the wages that they identify do not provide a buffer in the event of medical crises or job loss, which alone can have a cascading effect on other expenses (e.g., losing health care or benefits associated with one's job). Several publicly accessible finance and investment tools recommend saving between three to six months of one's salary to withstand unforeseen crises.[19]

Retirement security

So far, we have only focused on the level of income required for subsistence, and, at best, to sustain a family for an additional six months in the event of job loss or other crises. Even if workers are able to economically survive their working lives, subsistence wages do not enable them to accumulate assets to draw from in retirement. Social Security is designed to supplement retirement income, but for most people, it is not enough to maintain even a modest standard of living.

As of 2021, approximately 72 percent of American workers have access to retirement benefits through their jobs.[20] Not surprisingly, plan availability is strongly correlated with pay: only 34 percent of workers in the bottom 10 percent of earners have access to a plan; for the top 10 percent, that number is 93 percent.[21] These figures further mask the fact that jobs that pay better are also more likely to offer robust retirement plans with higher contributions from employers.

Even if an employer matches employee contributions at the same rate for all workers, the gross value of contributions will be lower for lower paid workers, making retirement savings another critical source of long-term economic inequality. Additionally, given that many rules around benefit provision only apply to full-time workers, those who work part-time have fewer opportunities to accrue wealth over the life cycle. Indeed, only 42

[19] https://www.forbes.com/advisor/banking/emergency-fund-calculator/ ; https://www.nerdwallet.com/article/banking/emergency-fund-calculator ; Emergency Fund Calculator: Calculate Your Safety Net ; https://www.pnc.com/en/calculators/investments-and-retirement/safety-net-calculator.html

[20] 68 percent of private industry workers had access to retirement plans in 2021 : The Economics Daily. (note: contrary to the title, 72 percent figure is for *all* workers)

[21] https://www.bls.gov/news.release/archives/ebs2_09232021.htm

percent of part-time workers have access to a retirement plan through their job.[22] Taken together, these figures speak to the complicated interplay between wage levels, non-wage compensation, and job security.

Other forms of wealth building

Across all tools, housing represents a significant proportion a household costs. Households are considered to be in housing stress or rent burdened if they are spending more than 30 percent of their income on housing costs.[23] For most of the tools and locations depicted in Figure 1, single adults raising one child must devote more than 30 percent of their incomes to housing costs, meaning they are in housing stress. All wage tools assume that this family composition would live in a one-bedroom apartment, meaning that even if a single adult either shares a room with their child, or one sleeps in a common area, they would *still* struggle to make ends meet. From a broader perspective, this implies that a significant portion of an individual's earnings is transferred to another party, which further exacerbates existing disparities in wealth. In discussions of home ownership and asset building, it is important to recognize that many groups, particularly Black Americans, have been historically unable to build intergenerational wealth through housing because of exclusion from government-backed mortgage programs and discriminatory housing policies.[24]

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The ability to set aside savings for individuals and/or their children to pursue higher education is another form of intergenerational wealth building. Beyond the complexities of financial literacy,[25] saving for children's college tuition represents another significant cost to families. For example, in California, parents looking to begin saving to send a five-year-old child to two-year, in-state college[26] (assuming the child will live at home) must set aside $175 per year, taking into account projected costs for a 2036 enrollment.[27] To begin saving for one five-year old child to enroll at UC Berkeley—assuming four-year enrollment, in-state tuition, and room and board—parents must save approximately $4,776 annually per child. If families cannot manage to set aside savings until the child gets older, this amount only increases due to the shorter time

[22] https://www.bls.gov/news.release/archives/ebs2_09232021.htm ; Table 1
[23] https://www.huduser.gov/portal/pdredge/pdr_edge_featd_article_092214.html
[24] https://www.urban.org/sites/default/files/publication/101160/explaining_the_black-white_homeownership_gap_2.pdf
[25] Oh, David Y. 2023. "Wealth of Knowledge: Building a Legacy with 529 Plans." *Journal of Financial Planning* 36(3): 32-36.
[26] https://www.cccco.edu/Students/Pay-for-College
[27] https://www.schwab.com/saving-for-college/college-savings-calculator

span and ability to accrue interest. While not everyone needs to go to college, it nevertheless can play a crucial role in class ascension.

As discussed in Blog Post 2, a "good" job allows workers and families to maintain a reasonable quality of life, achieve financial security, and have the opportunity to build wealth. There are multiple approaches to achieve economic security, but a good job should position households to make the best choices for themselves.

Compensation packages: reconciling wages and benefits

Some jobs provide robust benefits that we have included in our framework, including no upfront healthcare premiums, childcare coverage or subsidies, and comprehensive retirement savings plans. In other words, wage earnings, health insurance benefits, and retirement savings alike contribute to economic security for workers and their families. Below, we discuss compensation packages that might enable long-term security.

Economic Security for a Single Adult in San Francisco

For example, to maintain subsistence through wage income in San Francisco, California, a single adult with one child must make $118,903 annually, which includes $18,216 for childcare and $9,476 for employee-paid health care costs.[28] If these costs were covered by programs like publicly financed child care and universal health care, the income required for subsistence would effectively be $91,211, rather than $118,903.

Beyond subsistence, a job can improve economic security by delivering robust retirement savings plans, such as defined benefit plans or defined contribution plans that equal at least 15% of subsistence wage.[29] Figure 4 illustrates three compensation packages that achieve a comparable level of economic security through combinations of wages, childcare subsidies, health insurance coverage, and retirement savings plans. Notably, robust benefit provision reduces the wages required to reach modest economic security by more than $40,000.

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Commented [10]: the calculations and some notes live here: https://docs.google.com/spreadsheets/d/15koz4WRVs35Pd2wga49MS7g3JyE_jgkIQDeKYjW_L80/edit#gid=0

Commented [11]: Does this call for a discussion of or at least comment on different tax treatment for wages and benefits -- both for employees and employers? Not directly the subject of this post, but relevant to public policy. What matters to employers is total compensation cost and tax treatment of various options impacts TCC. For employees, the calculators include assumptions about taxation that would also be impacted based on the mix.

[28] Using MIT's Living Wage Calculator.

[29] Financial advisors recommend that 15% of earnings be set aside for retirement: https://www.troweprice.com/personal-investing/resources/insights/youre-age-35-50-or-60-how-much-should-you-have-by-now.html

Figure 4. Effective Compensation Under Varying Levels of Benefit Provision

	Relying solely on wage compensation	Wage compensation and some benefits[a]	Wage compensation and robust benefits[b]
Expense	**Value**	**Value**	**Value**
Housing	$39,396.00	$39,396.00	$39,396.00
Food	$6,916.00	$6,916.00	$6,916.00
Childcare	$18,216.00	$13,216.00	$0.00
Medical	$9,476.00	$9,476.00	$0.00
Transport	$9,561.00	$9,561.00	$9,561.00
Other (e.g., civic participation, broadband)	$13,821.00	$13,821.00	$13,821.00
Subsistence basket of goods[c]	**$97,386.00**	**$92,386.00**	**$69,694.00**
Emergency savings[d]	$24,346.50	$24,346.50	$17,423.50
Retirement savings[e]	$14,607.90	$6,928.95	$0.00
Security costs	**$38,954.40**	**$31,275.45**	**$17,423.50**
SECURITY INCOME (net)	**$136,340.40**	**$123,661.45**	**$87,117.50**
Taxes[f]	**$32,789.87**	**$29,740.58**	**$19,209.41**
SECURITY INCOME (gross)	**$169,130.27**	**$153,402.03**	**$106,326.91**

NOTES:
[a] Modest is defined as a $5,000 childcare subsidy and an employer-sponsored retirement plan with matching.
[b] Robust is defined as universal childcare provision, universal health care, and a defined 15% benefit contribution for retirement.
[c] Costs of subsistence draw on MIT's Living Wage Calculator estimates for a single-adult, one child household.
[d] Emergency savings equal three months of subsistence wage income.
[e] Retirement savings equal 15% of subsistence wage income.
[f] Taxes are estimated using NBER's TAXSIM tool for a 30-year-old adult and a four-year-old child. MIT uses this tool with the same age assumptions for its Living Wage Calculator. Assumptions about government- or employer-provided benefits have implications for tax structures. For workers, benefit provision can impact taxable income. For employers, benefit provision can impact payroll taxes. More generally, government benefit provision would lead to greater taxation, all else being equal.

Future posts in this series will discuss more fully the ways in which a job can enable economic security through robust retirement and health insurance benefits.

Conclusion

While existing estimates of the wages required for families and individuals to make ends meet are much higher than local minimum wages and the federal poverty threshold, they nevertheless fall snhort of what we consider to be "good" paying. We have tried to illustrate in this post not only the challenges associated with developing tools to measure the quality of life a wage can provide, but also how those that do leave no room for emergencies or wealth building of any kind.

By proposing a more comprehensive framework, we emphasize the importance of jobs not just meeting subsistence needs but allowing families to save, invest in a home, retire with dignity, and, if desired, pursue higher education. To achieve genuine economic security, it is imperative to address the multifaceted challenges faced by workers and ensure that employment enables not just survival, but also long-term stability for *all* workers and families.

Although wages are an essential feature of compensation, jobs can deliver further security through a comprehensive benefit regime package. Robust health insurance, childcare, and retirement savings plans—through jobs and government-sponsored programs—are two options that can supplement wages to provide long-term economic security.

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Appendix

Notes for Fig 2.

NOTES: Regions were chosen to cover a range of geographic areas, population densities, and predominant industries. Certain areas with a high cost of living, such as the Bay Area and New York City, are excluded from the figure because the definitions of the regions are too disparate across the BLS and subsistence wage tools to provide a reasonable comparison.

a. Minimum wage at time of BLS data collection (May 2022).
b. The EPI Family Budget Calculator and United Way Real Cost Measure of California do not report hourly wages. Values represent the annual household income divided by 2080 hours, which equals 40 hours/week x 52 weeks/year. The United Way Real Cost Measure of California is only available for regions in California. All estimates are based on one-adult, one-child households. For MIT, EPI, and United Way, a single child is assumed to be four years old. To make UW estimates comparable, we selected the "pre-school" age child option, which reflects values for ages three through five. MIT wages are in 2022 dollars; EPI wages are in 2020 dollars; unless otherwise specified, UW Self-Sufficiency wages are in 2021 dollars.
c. BUFFALO: The BLS, MIT, and EPI definitions of the Buffalo Metropolitan Area include Erie and Niagara Counties. The UW Self-Sufficiency Standard values are for Erie County, the most populous county in the region.
d. DENVER: The BLS, MIT, and EPI definitions of the Denver Metropolitan Area include Adams, Arapahoe, Broomfield, Clear Creek, Denver, Douglas, Elbert, Gilpin, Jefferson, and Park Counties. The UWSS values are for Denver County, the most populous county in the region. UWSS estimates are from 2018.
e. MIAMI: The MIT Living Wage Calculator and the Bureau of Labor Statistics reflect values for the Miami-Fort Lauderdale-West Palm Beach Metropolitan Statistical Area, which encompasses Broward, Miami-Dade, and Palm Beach Counties. Data from EPI and UW are only available for Miami-Dade County, which is the most populous county in the area.
f. HOUSTON: The UW values are based on Harris County, the most populous county in the area. The EPI values cover Chambers, Fort Bend, Galveston, Harris, Liberty, Montgomery, and Waller Counties. The MIT Living Wage Calculator and the Bureau of Labor Statistics reflect values for the Houston-The Woodlands-Sugar Land Metropolitan Statistical Area, which encompasses Austin, Brazoria, Chambers, Fort Bend, Galveston, Harris, Liberty, Montgomery, and Waller Counties.
g. LYNCHBURG: The Lynchburg Metropolitan Statistical Area (MIT and BLS) encompasses Amherst County, Appomattox County, Bedford County, Bedford

city, Campbell County, and Lynchburg city. UWSS values are for Bedford County, the most populous in the region; EPI is identical to MIT minus Bedford city. Due to the small number of workers in the area, the BLS does not report values for the "Farmworkers and Laborers, Crop, Nursery, and Greenhouse" occupation category.

h. HICKORY: MIT and BLS figures based on the Hickory-Lenoir-Morganton MSA encompass Alexander, Burke, Caldwell, and Catawba Counties. UW values based on Catawba County from 2020 (no 2021 values).
i. OMAHA/COUNCIL BLUFFS: The MSA encompasses Cass, Douglas, Sarpy, Saunders, and Washington Counties in Nebraska; and Harrison, Mills, Pottawattamie Counties in Iowa. Because the area includes two states, we report the state minimum wage for Iowa ($7.25) rather than Nebraska ($9). The Self-Sufficiency Standard does not calculate a subsistence wage for Nebraska and Nevada.
j. FRESNO: All values are based on Fresno County (the BLS's definition of Fresno is just Fresno County).
k. LOS ANGELES: The values for the Los Angeles region for MIT and BLS cover Los Angeles and Orange Counties. Values for EPI, UW, and United Way are based on Los Angeles County, the most populous county in the area.
l. DETROIT: the BLS and MIT values include Lapeer, Livingston, Macomb, Oakland, St. Clair, and Wayne Counties. EPI definition is identical with the exception of Livingston County. UWSS values based on Wayne County, the most populous county in the region; no data for 2021 so reporting 2020 values.
m. SEATTLE: The BLS and MIT definition includes King, Pierce, and Snohomish Counties. EPI excludes Pierce County (Tacoma). UW calculated based on King County, which includes Seattle and is the most populous county in the region.

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